

have taken. Extensive use of econometrics and statistics is undertaken.

☐ Data-driven strategy

This is also called test-control or champion-challenger testing. This is done by segmenting the data population into test (on which a new strategy called the challenger strategy is to be tested) and control (which uses an existing strategy called champion strategy). Building association rules which describe which parts of the product or customer data are clustered or co-related together are also part of analytics.

Basic domains within Analytics

Data-driven analytics, by definition, thrives in industries which have large amounts of data and high-volume transactions, and which need systematic and scientific analytics to cut costs and grow sales. The following domains offer employment opportunities to both newcomers and experienced Analytics professionals. These can be both in domestic firms, captive outsourcing firms, or third-party business process outsourcing companies.

☐ Retail sales Analytics

Retailers require analytics on outlet level data on uptake of particular items, inventory buildup, etc. All this helps them to improve their supply chain as well as sales. For example, a retailer found that sales of chocolates and chiclets increased when they were taken out from the food counter and kept next to the cash counter. In the US, every Walmart store has two dedicated analytics personnel tracking sales, shelf-space, pricing info and inventory.

☐ Financial services Analytics

Financial services use analytics extensively. This is because they are in a very competitive field, have millions of customers and a lot of transactions. Analytics help them segment customers and make targeted offerings. For example, if client data shows a spurt in spending, they also are likely to contact you with a personal loan offer.

- ☐ Risk and credit Analytics
- ☐ Marketing Analytics
- ☐ Collections Analytics
- ☐ Fraud Analytics
- ☐ Pricing Analytics

☐ Telecommunications

A growing field in India based on the wealth of information gathered by telecom firms on the calling, SMS and other VAS (value added service) usage habits of customers.

☐ Pharmaceutical or clinical Analytics

Clinical trials depend on the test and control of thousands of patients trying out new drugs. Clinical trial analytics focuses on a large number of variables that may or may not affect the drug response.

☐ Supply chain Analytics

Supply chain analytics comprises inventory optimisation, tracking turn-around time, multiple reports, and how to minimize the distribution costs.

☐ Transportation Analytics